

Morning Briefing

LIVE

Wednesday, 17 June 2026 | Generated ~06:00 BST (London) | Pre-European Open Edition

2. IMPORTANT NEWS

US-Iran interim peace deal confirmed; formal signing ceremony set for 19 June; Strait of Hormuz to reopen

[NPR](#) / [CNBC](#) / [Atlantic Council](#)

Dominant macro event of the week. Oil fell 4-5% on Monday-Tuesday, energy sector under pressure. Removes geopolitical risk premium from crude but implementation risk remains.

FOMC holds rates at 3.50-3.75%; Kevin Warsh delivers first press conference as Fed Chair at 14:30 ET today

[IndexBox](#) / [StockTitan](#) / [REX Shares](#)

Dot plot expected to remove last projected rate cut, formally ending easing cycle. Warsh tone on inflation (US CPI 4.2% YoY in May) is the key watch. Hawkish surprise would strengthen dollar, pressure equities.

Bank of Japan raised policy rate 25bps to 1.0% overnight, citing persistent inflation and weak yen

[OANDA](#) / [Trading Economics](#)

First hike to 1% in this cycle. Yen dynamics in play; potential unwind of carry trades. Nikkei little changed (+0.13%) suggesting the move was priced in.

Gold above \$4,300/oz for third consecutive session; trading at \$4,338 ahead of London open

[Fortune](#) / [LiteFinance](#) / [Trading Economics](#)

Peace deal uncertainty keeping safe-haven demand alive. Up ~2% this week. Significant psychological level holds.

Snap shares fell after launch of \$2,195 AR glasses; tech sector drags Nasdaq -1.15% on June 16

[Yahoo Finance](#) / [TheStreet](#)

Consumer hardware flop raises questions on AR/VR monetisation. Contagion into broader tech; Nasdaq underperformed Dow by 179bps on Tuesday.

3. EUROPEAN FUTURES — PRE-OPEN

Data collected ~06:00 BST. Sources: Eurex, Barchart, Investing.com

INDEX	FUTURES LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50	6,295	+~0.5%	Opened at 6,266; momentum positive on Iran deal
DAX	24,910	+0.07%	Near flat; rate-sensitive names cautious pre-FOMC
CAC 40	8,447	+0.75%	Outperformer; TotalEnergies drag offset by defense
FTSE 100	10,494	+0.61%	Energy/mining sector drag on oil prices; financials support

US FUTURES (CONTEXT)

INDEX	FUTURES LEVEL	VS PRIOR CLOSE
S&P 500	~7,500	Flat / slightly neg
Nasdaq 100	30,827	-0.03%

4. YESTERDAY'S CLOSES — EUROPE (16 JUNE 2026)

Sources: Trading Economics, MarketScreener, Barchart. Note: Stoxx 600 hit 52-week high on June 16.

INDEX	CLOSE	CHANGE %	SESSION NOTE
Euro Stoxx 50	~6,264	est. +0.4%	Stoxx 600 hit 52-week high; Iran deal relief rally
DAX	~24,893	est. +0.1%	Mixed session; industrials resilient, energy weak
CAC 40	~8,384	est. +0.7%	Defense stocks held gains; oil majors dragged
FTSE 100	~10,431	est. +0.5%	BP/Shell weighed; banks and pharma supported

Note: European June 16 closes are estimates derived from pre-open June 17 levels and intraday % moves. Verify against exchange data before use.

5. US MARKETS — 16 JUNE 2026 SESSION

Sources: TheStreet / Yahoo Finance / CNBC. Data as of market close.

INDEX	CLOSE	CHANGE (PTS)	CHANGE %
S&P 500	7,511.35	-42.94	-0.57%
Dow Jones	51,999.67	+328.64	+0.64% ★ Record
Nasdaq Composite	26,376.34	-307.60	-1.15%

Session tone: Divergent. Dow posted its second straight record close as investors rotated into cyclicals and financials, anticipating no change from the Fed. Nasdaq/S&P pulled back on tech selling — Snap fell sharply after a disappointing AR glasses launch, dragging consumer tech peers. Energy stocks underperformed across the board as oil extended declines on the US-Iran Strait reopening deal. Leading sectors: financials, industrials. Lagging: technology, energy. Key takeaway: rotation trade intact; breadth narrower than headline Dow move suggests.

6. ASIAN MARKETS — OVERNIGHT (17 JUNE 2026)

Sources: OANDA / Trading Economics / CNBC Asia. Data as of respective session closes.

INDEX	LEVEL	CHANGE %	SESSION NOTE
Nikkei 225	69,404	+0.13%	BOJ hiked 25bps to 1.0%; move priced in; yen strengthened modestly
Hang Seng	24,590	-1.0%	Subdued ahead of key Chinese macro data (IP, retail sales); tech sector weak
Shanghai Composite	n/a	n/a	Data not confirmed this session
Kospi	n/a	n/a	Data not confirmed this session

Overall tone: Cautious. BOJ's 25bps hike to 1.0% was the overnight headline — markets had largely priced it in, hence the muted Nikkei move at 69,404. Hang Seng slipped 1% as investors awaited Chinese industrial production, retail sales, and unemployment data due this week. The Iran deal positive sentiment from Monday-Tuesday faded as focus shifted to the FOMC decision later today.

7. COMMODITIES

Sources: Fortune / Trading Economics / OilPrice.com / LME / JM Bullion. Collected ~06:00 BST.

COMMODITY	LEVEL	CHANGE	NOTE
Brent Crude	~\$80.00/bbl	-3 to -4% (2-day)	4-session losing streak; Iran deal Hormuz reopening expectations
WTI Crude	~\$78.00/bbl	-4% (June 16)	Fell below \$78 intraday; lowest since early March; 3-month low
Gold (spot)	\$4,338/oz	+~0.5% today; +2% WTD	Above \$4,300 for third session; safe-haven demand persists
Natural Gas (US)	~\$3.00/MMBtu	Declining	Near 2-week low; larger-than-expected storage build last week
Copper (LME)	\$13,662/tonne	Broadly flat	~\$6.40/lb; holding near elevated levels; China data risk watchpoint

Oil: Brent near \$80, heading for its longest losing streak of the year. The US-Iran deal, if implemented, would restore Hormuz throughput and add ~20-21mb/d back to global seaborne flows. WTI slipped below \$78 intraday Tuesday. **Gold** at \$4,338 remains elevated — some investors doubt deal durability, and CPI at 4.2% sustains inflation-hedge demand. **Copper** stable as China demand outlook awaited.

8. RATES & FX

Sources: Trading Economics / CBonds / World Government Bonds / OANDA / Cambridge Currencies. ~06:00 BST.

INSTRUMENT	LEVEL	CHANGE	NOTE
US 10Y Treasury	n/a	n/a	Fed holds at 3.50-3.75%; yield data not confirmed this session
German 10Y Bund	~2.93-2.95%	Falling	Lowest since April 2026; oil price drop reduced inflation premium
EUR/USD	~1.165	Range-bound	Broadly stable; watch FOMC statement for USD direction
GBP/USD	~1.343	Stable	Range 1.33-1.41 for 2026; BoE rate path calm
DXY (Dollar Index)	~99.0	Near flat	June forecast range 98-102; Warsh tone the key catalyst today

German Bund yield fell toward 2.93%, lowest since April, on oil price declines reducing inflation expectations. The EUR/USD holding ~1.165 with traders positioned for FOMC clarity — a hawkish Warsh dot plot (easing bias removed) could push DXY toward 100-101 and pressure EUR/USD below 1.16. BOJ hike to 1.0% has yen implications; watch USD/JPY for carry trade unwinding if Warsh is less hawkish than feared.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (16 JUNE 2026)

Specific deal data (issuer, size, spread, IPT tightening) for June 16 could not be reliably sourced this session. Primary market pipeline in DCM is typically quiet in the 24-48 hours ahead of a major central bank decision (FOMC today). Issuers generally refrain from pricing into event risk. Any executions on June 16 would have been pre-existing mandates. Verify against IFR / GlobalCapital / Dealogic for confirmed prints.

PIPELINE / EXPECTED TODAY

Window likely to remain shut until after the FOMC statement (14:00 ET / 19:00 BST) and Warsh press conference (14:30 ET / 19:30 BST). Any deals expected post-decision in European IG (EUR-denominated SSA, covered bonds, senior preferred) would come Thursday once new rate guidance is absorbed. Watch for opportunistic HY prints if Warsh is perceived as less hawkish than feared. Note: US Juneteenth holiday on June 19 — compressed window this week.

KEY SPREADS

INDEX	LEVEL (BPS)	MOVE	DIRECTION
iTraxx Main (5Y)	<i>n/a</i>	<i>n/a</i>	Data not confirmed this session
iTraxx Crossover (5Y)	<i>n/a</i>	<i>n/a</i>	Data not confirmed this session
CDX IG (5Y)	<i>n/a</i>	<i>n/a</i>	Data not confirmed this session
Avg Euro Corp IG Spread	<i>n/a</i>	<i>n/a</i>	Data not confirmed this session

COMMENTARY

Primary market tone into the FOMC is cautious but not risk-off. Oil price correction reduces input-cost inflation concerns for European industrials and transport issuers, which is credit-positive over the medium term. However, the 4.2% US CPI print and Warsh's first dot plot introduce rate uncertainty that keeps funding windows tentative. Investor appetite remains selective — IG financials and SSA can print through volatility, while HY and cyclical corporates (energy, shipping) will wait for post-FOMC clarity. Funding conditions are adequate; the window opens Thursday if Warsh signals a steady hand.

10. ECONOMIC CALENDAR — 17 JUNE 2026

London time (BST = UTC+1). Sources: FRED / Trading Economics / IndexBox / Kiplinger.

All day	China industrial production, retail sales, house prices, unemployment (May data)	China consensus	HIGH
~09:00	Eurozone CPI Final (May) — confirmation of flash estimate	Flash est.	MEDIUM
~13:30	US Housing Starts & Building Permits (May)	Consensus n/a	MEDIUM
19:00	FOMC Rate Decision — rates held at 3.50-3.75%; updated dot plot released	No change (97%)	HIGH ★
19:30	Kevin Warsh press conference — first as Fed Chair; dot plot, inflation/growth outlook, policy bias	—	HIGH ★

Note: US Juneteenth holiday on Friday 19 June. Shortened week for US fixed income and equity markets.

11. CORPORATE EVENTS & EARNINGS

Sources: MarketScreener / Earnings Whispers / Yahoo Finance. Data as of this session.

Earnings Whispers reports 8 earnings reports, 5 IPO pricings, 84 economic events, and 47 stock splits scheduled for June 17, 2026. Specific company names for earnings were not confirmed in this session.

TYPE	COUNT / DETAIL	NOTE
Earnings (US/Europe)	8 reports	Specific names not confirmed; verify Earnings Whispers / MarketScreener
IPO Pricings	5	Pipeline active; details n/a this session
Stock Splits	47	Elevated split activity in 2026
AGMs / Major Corp Events	n/a	No high-profile European AGMs confirmed for today
US Juneteenth (Fri 19 Jun)	Market holiday	Compressed activity window this week; key for DCM scheduling

12. STOCKS TO WATCH

Sources: Investing.com / OANDA / TheStreet / SimplyWallSt. Skew: aviation, shipping, metals, defense, banks, energy.

BP / Shell	Brent below \$80 on Iran deal Hormuz reopening; fourth consecutive session of oil declines. Energy majors facing earnings estimate cuts if \$78-80 range holds into Q3.	Bearish
TotalEnergies	Same oil price pressure as BP/Shell; also carries LNG exposure. CAC 40 drag. Watch for production guidance comments from management.	Bearish
IAG / Ryanair / Lufthansa	Brent at \$80 and falling is net positive for airline operating costs. Strait reopening reduces geopolitical disruption risk for Middle East routes. Structural tailwind for Q3 summer load factors.	Positive
Airbus	17,000-aircraft backlog near 60% of global fleet; IATA expects backlog reduction in 2026. Order flow intact. A320neo recent deals (Air China 60 jets). Defense unit benefits from Europe's €750bn plan through 2030. Strait reopening helps order deliveries logistics.	Positive
MTU Aero Engines	JPMorgan on Positive Catalyst Watch. MRO demand growing with aircraft backlog and aging fleet utilisation. European defense spending uplift secondary benefit.	Positive
Saab AB	Gripen fighter backlog including €3.1bn Colombia deal (17 jets). German €750bn defense plan generates indirect demand. European defense ETF (EUAD) flow-through. Watch for order update commentary.	Positive
European Banks (BNP, SocGen, UniCredit)	FOMC today: if Warsh signals higher-for-longer, European banks benefit from steeper curves. Rate rotation theme intact (Dow record vs Nasdaq underperformance). ECB easing pace also in focus.	Conditionally positive
Gold Miners (Fresnillo, Centamin)	Gold above \$4,300 (\$4,338 spot this morning). Up 2% WTD. CPI at 4.2% sustains inflation-hedge demand. Peace deal uncertainty keeps safe-haven bid alive. Producers benefit directly.	Positive
Snap (SNAP)	AR glasses (\$2,195) launch received poorly; stock fell sharply June 16. Secondary contagion to AR/VR adjacents (Meta Reality Labs). Watch European consumer tech sentiment.	Bearish
Copper Miners / Antofagasta	LME copper at \$13,662/tonne (\$6.40/lb), holding elevated. Chinese macro data (IP, retail sales) due this week could move copper significantly. Watch China print for direction signal.	Watch

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

1. **FOMC June 16-17:** Kevin Warsh holds rates at 3.50-3.75% in his first meeting as the 17th Fed Chair (took oath 22 May 2026). US CPI at 4.2% YoY in May — highest since April 2023 — and unemployment near 4.3% gave him no room to signal cuts. The dot plot is expected to remove the final projected rate cut, formally ending the easing cycle that began in 2024.
2. **BOJ 25bps hike to 1.0%:** Bank of Japan raised rates overnight to 1.0%, citing inflation linked to Iran-driven energy costs and persistent yen weakness. Nikkei moved only +0.13% — the hike was priced in. Yen strengthened modestly; carry trade unwind risk elevated if Warsh is dovish relative to expectation.
3. **Oil market repricing:** Brent near \$80, WTI near \$78. US-Iran deal — if the Strait of Hormuz reopens as announced June 19 — could add significant supply. Four-session losing streak for crude; Goldman/JPMorgan expected to revise oil forecasts lower.
4. **China macro data:** Industrial production, retail sales, house prices, and unemployment data due this week. Hang Seng -1.0% overnight in anticipation. Data will set the near-term trajectory for copper, iron ore, and EM currencies.

CORPORATE

1. **Snap AR glasses flop:** \$2,195 AR glasses received poorly by consumers and analysts. Snap shares fell Tuesday, dragging Nasdaq tech. Raises questions on mass-market AR viability and timing.
2. **European defense sector:** Germany's €750bn defense spending plan through 2030 continues to drive order flow and broker upgrades across Airbus, Saab, Babcock, Leonardo, and MTU. JPMorgan and Morgan Stanley both issued positive-catalyst calls on sector in H1 2026.
3. **Airline sector beneficiary:** Brent at \$80 is a tailwind for European carriers (IAG, Ryanair, Lufthansa). Combined with Strait reopening removing Middle East route risk, the summer load factor outlook improves.

POLITICAL / GEOPOLITICAL

1. **US-Iran interim deal:** US President Trump announced an agreement to end the 100+ day war with Iran and reopen the Strait of Hormuz. Memorandum of understanding signed electronically. Formal ceremony set for 19 June. Key risk: differences in what each side is claiming leave implementation doubt.

2. **US Juneteenth holiday (19 June):** US markets closed Friday. Compressed week for US fixed income and equities — DCM issuers must price by Thursday; some may delay to week of June 22.

3. **Israel/Gaza and broader Middle East:** US-Iran deal reduces direct conflict risk. Watch Israeli government response to Hormuz deal. Energy markets will track compliance with Strait reopening timeline.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. FOMC & Warsh press conference (19:00-19:30 BST)

The single biggest market event of the session. Rate unchanged but dot plot and Warsh's tone will dictate the USD, rates, and equity direction for the rest of the week.

2. Oil price fourth session of losses — Brent ~\$80

Energy sector earnings estimates under pressure; airlines, industrials benefit. Direction will depend on OPEC response signals and any Strait reopening confirmation.

3. Gold above \$4,300 — inflation hedge vs peace deal

\$4,338 spot: two competing narratives (safe-haven demand on deal doubt vs reduced geopolitical risk). Warsh hawkishness is the key catalyst — a higher-for-longer signal pressures gold.

4. China macro data drop (industrial production, retail sales)

Critical for copper, iron ore, EM currencies, and Hang Seng direction. Miss on retail sales would compound risk-off tone in Asia.

5. BOJ 1.0% aftermath and carry trade dynamics

Yen strengthened after the hike. If Warsh comes in dovish, USD/JPY could fall sharply, triggering carry unwind in EM FX and risk assets.

THIS WEEK'S TOP 5

1. US-Iran formal signing ceremony (19 June) — Juneteenth / US holiday

Implementation of Hormuz reopening starts here. Oil markets will watch first tanker passages. Formal deal text detail will determine durability of the oil price correction.

2. Fed dot plot — end of easing cycle

Removal of last projected cut is a structural shift: markets must reprice with the Fed on hold through 2026 and potentially 2027. Credit spreads, mortgage rates, and DXY all reset.

3. China industrial production & retail sales (May)

Large miss would pressure metals (copper at \$13,662/tonne) and EM currencies. Outperformance would support the Iran deal demand-growth narrative.

4. BOJ rate path post-1.0% hike

Market will assess whether BOJ signals further hikes in H2 2026. If so, carry trades unwind meaningfully. Tokyo inflation print this week is a watchpoint.

5. European DCM window (Thursday-Friday compressed)

With FOMC today and Juneteenth Friday, the primary market window is just Thursday. Corporate treasurers and banks that need to fund must decide quickly whether to print.

THIS MONTH'S TOP 5

1. US-Iran peace implementation — Strait of Hormuz traffic resumes

Oil market rebalancing over the next 4-6 weeks as barrels suppressed since March return to market. OPEC+ emergency meeting likely; Saudi quota decisions will drive crude range into July.

2. Fed policy path under Warsh — higher-for-longer into H2 2026

US CPI at 4.2%, Fed on hold. Rate-sensitive sectors (real estate, utilities, tech) face continued headwinds. Dollar strength likely. First Warsh press conference sets the baseline.

3. European defense spending execution — Germany €750bn plan

June-July procurement contracts expected from Germany and France. Aerospace/defense sector earnings upgrades in progress. NATO summit July will set Q3 spending narrative.

4. Inflation trajectory — US 4.2%, ECB divergence

June CPI (due mid-July) will determine if the 4.2% May spike was temporary (oil reversal) or structural. ECB faces lower oil inflation but watches core services. Divergence between Fed and ECB path is the key macro regime theme.

5. Gold above \$4,300 — structural hold or pullback on peace deal

\$4,300+ gold reflects a structural repricing of geopolitical and inflation risk since 2024. A durable Hormuz deal plus Warsh hawkishness could pull gold back to \$4,100-\$4,200. Watch central bank buying data (Q2 report due late July).

15. KEY TRENDS TO WATCH

1 DAY — TODAY'S SESSION DRIVERS

TREND	WHY IT MATTERS TODAY
FOMC / Warsh press conference (19:00 BST)	Sets USD direction, bond yields, equity sector rotation for remainder of week
Brent crude at \$80 — will it hold?	A break below \$78-79 triggers energy sector earnings downgrades; relief for airlines/industrials
Gold \$4,338 — bid vs risk-on fade	Warsh hawkishness = dollar strength = gold pressure. Monitor bid/offer spread and ETF flows
European pre-open: positive across indices	DAX +0.07%, CAC +0.75%, FTSE +0.61% — question is whether gains hold into FOMC
China macro data	Industrial production / retail sales data could move copper and Hang Seng intraday

1 WEEK — KEY APPOINTMENTS AND THEMES

TREND	DEADLINE / WATCH
US-Iran formal signing + Hormuz reopening	19 June (Friday / Juneteenth). Tanker traffic monitoring begins
Fed dot plot absorption	Market repricing continues through Thursday; US 10Y yield key level to watch
BOJ aftermath — yen carry	USD/JPY positioning; watch Tokyo CPI Friday
DCM window (Thursday only)	Compressed week due to Juneteenth; primary market activity expected Thursday morning
OPEC+ emergency meeting signals	Saudi Arabia / UAE response to Hormuz deal and supply expectations

1 MONTH — MAJOR DEADLINES AND UNDERLYING TRENDS

TREND	EXPECTED TIMING / IMPLICATION
Hormuz traffic + oil market rebalancing	First 2-3 weeks of July show whether Iranian and Gulf crude flow resumes; OPEC quota meeting likely July
US June CPI (mid-July)	Post-Iran deal oil reversal may pull headline inflation back. If it does, Warsh faces pressure to signal cuts again
NATO summit (July)	European defense spending commitments. Key for Airbus, Saab, Leonardo, Rheinmetall order pipelines
BOJ H2 2026 rate path	Next meeting September; if inflation sticks, another 25bps possible. Yen appreciation, carry unwind risk
Gold — structural repricing test	\$4,300 base: central bank buying data (Q2, due late July) and US real yields will determine support

Sources: Reuters, CNBC, NPR, The Street, Yahoo Finance, Fortune, IndexBox, OANDA / MarketPulse, Trading Economics, Barchart.com, Investing.com, CBonds, World Government Bonds, Eurex, LME / Metal Radar, JM Bullion, LiteFinance, Earnings Whispers, MarketScreener, REX Shares, Britannica, Atlantic Council, Polymarket, SimplyWallSt, Morningstar Europe, Armchair Trader, Cambridge Currencies, MEXC Learn, StockTitan, Kiplinger, Alinvest.

Data collected automatically ~06:00 BST, 17 June 2026. Verify all figures before making any investment decision. Some European June 16 closes are estimates; iTraxx/CDX spread data, Shanghai, Kospi, and US 10Y Treasury yield could not be confirmed this session.